Quant

Viksit Bharat's resilience to the fore amidst global strife and protectionism

A positive regulatory development has come through the recent circular issued by the Securities and Exchange Board of India (SEBI) on the Categorization and Rationalization of Mutual Fund Schemes, which provides greater flexibility in deploying the residual portion of equity scheme portfolios. **Money managers can now invest this residual portion not only in equities but also in money market and other liquid instruments, Gold and Silver instruments (as permitted by SEBI), and InvITs, within prescribed limits.** This added flexibility enhances downside protection and enables asset-class level hedging to improve risk-adjusted returns for investors- for instance, allowing small-cap schemes to hold Gold or Silver ETFs within prescribed limits as a hedge, especially during periods of heightened geopolitical volatility. **We are pleased to share that our systems are fully aligned to implement these changes, and we intend to tactically deploy multi-dimensional strategies across our schemes with immediate effect, within the regulatory framework.**

The month of February closed with a **coordinated attack on Iran by Israel and the US,** triggering a **global Risk-off market rout.** In the first trading sessions today morning on March 2, 2026, major global stock indices corrected by around 1.0-2.5%, including the Nifty 50, which saw an intraday drop of over 2.2%. Iran's retaliation against US bases and the perceived closure of the Strait of Hormuz have caused **Brent crude to surge.** Consequently, investors are fleeing to **safe havens and to liquidity,** driving Gold prices and the DXV index higher. Volatility ascended, with India's VIX rising to 17.0 levels, while the Iranian Rial collapsed 30%.

Late February, we witnessed a **fresh bout of volatility** spurred by the US Supreme Court decision to rescind the global tariffs imposed by the current US administration. This played along our view from last month that **DM equities appear increasingly riskier than EM equities as our Complacency indicators are near record highs for US, Taiwan and South Korea.**

Mid-February also saw an AI scare trade, dubbed ***"SaaSpocalypse,"*** as investors rotated out of tech and global IT services stocks suffered their worst monthly performance in decades. Investors aggressively cut positions due to fears that rapid advancements in Generative AI would render traditional outsourcing models obsolete, leading to a ca. **20% monthly decline in the Nifty IT index.** The release of Anthropic's legal and coding plugins sparked a global market rout and **IBM saw its steepest single-day drop in 25 years** after Anthropic claimed Claude could modernise legacy COBOL systems in weeks rather than years.

We believe that we are in the midst of a global risk appetite shrinkage cycle, evidenced by **PE contraction in new-age technology and selling pressure on corporate earnings regardless of performance.** While we believe the Fed remains on the trajectory to supports rate cuts on the premise of an AI-driven disinflationary productivity boom, investors remain uncertain and DM equities remain more vulnerable. The US Dollar is in a structural downward trajectory, pressured by burgeoning deficits and buoyant activity in Gold and Silver ETFs, though it is in a short-term cyclical uptrend, driven by economic uncertainty and geopolitical fears.

In contrast, Indian equities continue to represent the world's premier structural growth story, supported by a nominal GDP growth rate more than double that of China. Following a sound and responsible Union Budget, the government officially launched an asset monetization plan ("NMP 2.0") in order to unlock value from public assets. The plan targets a total potential of INR 16.72tn over five years, which is 2.6 times higher than the first phase. High value sectors include Highways (INR 4.42tn), Power (INR 2.76tn) and Railways (INR 2.62tn).

Through the recent period of correction and consolidation, India's relative price-to-earnings (PE) multiples have realigned with historical averages and macroeconomic fundamentals. We are positive that the next phase of India's bull run will be supported by an improving earnings revision cycle, following structural reforms. Support from the R.B.I. is also ensuring that the USDINR pair is peaking rather than breaking out.

India's fiscal position remains prudent and on a path of consolidation, while monetary policy appears to be at a favourable inflexion point, with the central bank governor publicly indicating that policy rates are likely to remain low for an extended period. Thus, amid heightened global concerns of an economic slowdown, India continues to stand out as a relative outlier. The relatively low interest rate environment and easing liquidity will further support lending and banking activity. Our view that the September quarter marked the bottoming out of the earnings cycle is also playing out well - a gradual improvement in corporate earnings will be realized.

February also saw the long-awaited trade agreement between India and US to reduce tariffs on Indian imports to 18%. We believe that the global capital is underestimating this India-US trade catalyst, which goes beyond adding to volumes and quality of trade. Markets are ignoring this significant positive development in the short-term, but will be forced to reward it in the medium and long-term as **trade with the US provides phenomenal benefit to India,** because our human productivity is maximized (Export services) and financial costs are optimized (Forex reserves), better than with any other nation or region in the world.

All said and done, the Nifty did correct by 0.6% in February, although our headline index was heavily influenced by the deep correction in tech stocks, driven by the *SaaSpocalypse* event. The S&P 500 corrected by 0.9%, whereas the KOSPI (South Korea) grabbed global equity headlines, gaining 19.5%. Bitcoin corrected heavily for a fourth month in the last five, dropping by 15%, while the Dollar Index gained 0.5% and the US 10-year shed 29 basis points, its yield dropping below 4.00%. Precious metals had yet another solid month, Gold and Silver rising 8% and 10%, after gaining 13% and 19%, respectively, through January.

As far as our latest portfolio composition goes, **we have recently increased cash levels with a view to rebuild equity exposure at lower levels.** Currently, the portfolio remains tilted towards large caps and overall liquidity is good; select mid and small caps exposure has been increased in most of the equity and hybrid schemes. We continue to remain constructive on large Infrastructure, select NBFCs, Insurance, AMCs, Banks, Hotels, Pharmaceuticals, Telecom and select Consumption themes.

We thank you sincerely for your trust and engagement. We are dedicated to helping you achieve your investment objectives and we look forward to continue supporting your investment journey.

quant MF schemes -performance across categories, across time horizons

Fund	Money Managers	3 Months		6 Months		1 Year		3 Years		5 Years		Since Inception	
		Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM
quant Small Cap Fund {Inception Date: Oct. 29, 1996)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-8.01%	**-5.22%**	-5.08%	-4.93%	8.97%	12.47%	20.99%	22.06%	**25.86%**	19.04%	16.66%	15.33%
quant ELSS Tax Saver Fund (Inception Date: Apr. 13, 2000)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-3.45%	-3.15%	4.27%	2.02%	18.24%	15.11%	19.45%	17.89%	21.08%	14.88%	19.65%	13.92%
quant Mid Cap Fund (Inception Date: Mar. 20, 2001)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-8.19%	-2.40%	-4.45%	3.75%	2.77%	20.96%	16.72%	25.19%	21.51%	20.77%	**16.25%**	18.26%
quant Multi Asset Allocation Fund (Inception Date: Apr. 17, 2001)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	6.06%	3.16%	**15.78%**	11.43%	30.72%	23.03%	26.09%	14.76%	27.31%	11.27%	16.18%	N.A.
quant Aggressive Hybrid Fund (Inception Date: Apr. 17, 2001)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-2.34%	-2.44%	3.27%	2.09%	16.83%	10.29%	15.57%	12.01%	17.89%	10.69%	16.70%	N.A.
quant Multi Cap Fund (Inception Date: Apr. 17, 2001)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-6.46%	-3.43%	-3.26%	0.98%	5.33%	15.41%	13.35%	19.95%	16.80%	16.75%	17.81%	15.17%
quant Liquid Fund (Inception Date: Oct. 03, 2005)	Sanjeev Sharma, Haroonvardhan Sirohi	1.50%	1.47%	2.96%	2.92%	6.32%	6.22%	6.93%	6.90%	6.08%	5.94%	7.17%	6.72%
quant Large & Mid Cap Fund (Inception Date: Jan. 08, 2007)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	**-6.80%**	-2.73%	-1.67%	3.17%	6.15%	17.49%	17.41%	20.63%	18.94%	17.09%	17.37%	15.86%
quant Infrastructure Fund (Inception Date: Sep. 20, 2007)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-4.60%	-1.45%	0.86%	6.56%	12.79%	22.74%	20.71%	24.76%	24.94%	19.53%	16.74%	11.83%
quant Focused Fund (Inception Date: Aug. 28, 2008)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-3.01%	-3.15%	0.75%	2.02%	10.98%	15.11%	17.39%	17.89%	16.72%	14.88%	16.48%	13.92%
quant Flexi Cap Fund (Inception Date: Oct. 17, 2008)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-3.29%	**-3.15%**	3.79%	2.02%	13.89%	15.11%	19.70%	17.89%	21.41%	**14.88%**	18.27%	13.92%
quant ESG Integration Strategy Fund (Inception Date: Nov. OS, 2020)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-3.23%	-2.76%	3.98%	2.90%	**14.25%**	15.12%	18.51%	**17.35%**	**22.58%**	13.25%	**26.82%**	16.30%
quant Quantamental Fund (Inception Date: May. 03, 2021)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	**-2.72%**	-3.07%	5.34%	2.92%	16.74%	15.22%	22.20%	17.42%	N.A.	N.A.	20.68%	14.64%
quant Value Fund (Inception Date: Nov. 30, 2021)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	**-3.03%**	-3.15%	3.75%	2.02%	14.39%	15.11%	23.70%	17.89%	N.A.	N.A.	18.76%	12.51%
quant Large Cap Fund (Inception Date: Aug. 11, 2022)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-2.75%	-3.06%	1.99%	2.58%	14.81%	14.07%	18.93%	15.96%	N.A.	N.A.	13.62%	12.06%
quant Overnight Fund (Inception Date: Dec. 04, 2022)	Sanjeev Sharma, Haroonvardhan Sirohi	1.24%	1.28%	2.57%	2.66%	5.43%	5.57%	6.52%	6.36%	N.A.	N.A.	6.50%	6.37%
quant Gilt Fund (Inception Date: Dec. 21, 2022)	Sanjeev Sharma, Haroonvardhan Sirohi	0.85%	0.99%	2.95%	3.50%	4.79%	6.27%	6.97%	8.07%	N.A.	N.A.	6.76%	7.78%
quant Dynamic Asset Allocation Fund (Inception Date: Apr. 12, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-3.63%	-1.83%	-0.22%	2.05%	12.01%	9.15%	N.A.	N.A.	N.A.	N.A.	19.78%	10.64%
quant Business Cycle Fund (Inception Date: May. 30, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-4.78%	-3.15%	0.17%	2.02%	8.21%	15.11%	N.A.	N.A.	N.A.	N.A.	18.17%	16.06%
quant BFSI Fund (Inception Date: Jun. 20, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	**-0.42%**	-0.24%	9.93%	7.47%	34.70%	21.46%	N.A.	N.A.	N.A.	N.A.	28.66%	15.16%
quant Healthcare Fund (Inception Date: Jul. 17, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-1.71%	-0.34%	1.32%	2.70%	13.00%	15.32%	N.A.	N.A.	N.A.	N.A.	18.67%	21.34%
quant Manufacturing Fund (Inception Date: Aug. 14, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma, Jignesh Shah	-3.88%	3.30%	0.27%	9.87%	8.47%	27.93%	N.A.	N.A.	N.A.	N.A.	15.78%	**22.38%**
quant Teck Fund (Inception Date: Sep. 05, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-19.48%	-17.88%	-20.13%	-14.07%	-16.85%	-19.57%	N.A.	N.A.	N.A.	N.A.	-1.67%	-0.38%
quant Momentum Fund (Inception Date: Nov. 20, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-3.13%	-3.15%	1.51%	2.02%	11.20%	15.11%	N.A.	N.A.	N.A.	N.A.	17.35%	13.96%
quant Commodities Fund (Inception Date: Dec. 27, 2023)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	0.89%	8.19%	4.90%	15.18%	13.68%	30.23%	N.A.	N.A.	N.A.	N.A.	14.71%	14.04%
quant Consumption Fund (Inception Date: Jan. 24, '24)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-6.40%	-7.26%	-6.93%	-5.04%	-2.19%	11.01%	N.A.	N.A.	N.A.	N.A.	-3.36%	10.28%
quant PSU Fund (Inception Date: Feb. 20, '24)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Yug Tibrewal, Sameer Kate, Sanjeev Sharma	-4.00%	7.19%	3.52%	13.67%	11.15%	**28.85%**	N.A.	N.A.	N.A.	N.A.	1.28%	7.16%
quant Arbitrage Fund (Inception Date: Apr. 04, 2025)	Sameer Kate, Yug Tibrewal, Sanjeev Sharma, Harshvardhan Bharatia	2.02%	1.99%	3.81%	3.87%	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	7.44%	7.16%
quant Equity Savings Fund (Inception Date: Apr. 04, 2025)	Sandeep Tandon, Ankit Pande, Varun Pattani, Ayusha Kumbhat, Sameer Kate, Sanjeev Sharma	0.75%	-0.37%	2.23%	2.95%	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	4.88%	4.78%

Note: Data as on 27 February 2026. All returns are for direct plan. The calculation of returns since inception uses 07-01-2013 as the starting date for quant Small Cap Fund, quant ELSS Tax Saver Fund, quant Mid Cap Fund, quant Multi Asset Allocation Fund, quant Aggressive Hybrid Fund, quant Multi Cap Fund, quant Liquid Fund, quant Large & Mid Cap Fund, quant Infrastructure Fund, quant Focused Fund, quant Flexi Cap Fund

quant MF- Debt schemes

Fund	Fund Manager	7 Days		15 Days		1 Month		3 Month		6 Months		1 Year		3 Years		5 Years		Since Inception	
		Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM	Fund	BM
quant Liquid Fund (Inception Date: Oct. 03, 2005)	Sanjeev Sharma, Haroonvardhan Sirohi	5.56%	5.66%	5.84%	5.70%	6.68%	6.47%	6.01%	5.86%	5.93%	5.84%	6.32%	6.22%	6.93%	6.90%	6.08%	5.94%	7.17%	6.72%
quant Overnight Fund (Inception Date: Dec. 04, 2022)	Sanjeev Sharma, Haroonvardhan Sirohi	4.76%	4.91%	4.67%	4.83%	4.70%	4.87%	4.95%	5.12%	5.14%	5.31%	5.43%	5.57%	6.52%	6.36%	N.A.	N.A.	6.50%	6.37%
quant Gilt Fund (Inception Date: Dec. 21, 2022)	Sanjeev Sharma, Haroonvardhan Sirohi	26.91 %	33.46%	15.51%	19.82%	11.92%	13.87%	3.41%	3.96%	5.89%	6.99%	4.79%	6.27%	6.97%	8.07%	N.A.	N.A.	6.76%	7.78%

Note: Data as on 27 February 2026. The above performance data uses absolute returns for period less than 1 year and annualized returns for period more than 1 year for Direct (G) plans. However, different plans have different expense structure. Past performance may not be indicative of future performance.

Liquidity Analytics

- Liquidity Analytics indicates number of days that will be required to liquidate 50% and 25% of the portfolio respectively on a pro-rata basis, under certain conditions.
- For this 3 times the combined volumes on NSE and BSE has been considered.
- Assuming a participation of 10%, number of days to liquidate each stock is calculated.
- While calculating the time taken to liquidate portfolio on pro-rata basis, the 20% of least liquid securities of the portfolio are ignored.
- The number of days required to liquidate the balance portfolio shall be the maximum number of days required for liquidating a stock in such portfolio. Such number of days would be divided by two to indicate the days required for liquidating 50% portfolio and by four to indicate days required to liquidate 25% of the portfolio.
- The above methodology is as per the guidelines issued by AMFI in consultation with SEBI in relation to mid and small cap schemes. We are extending the same methodology to all our schemes and its respective benchmarks as well, after rebasing the size of the benchmark to the respective schemes' AUM.

Schemes Name	No. of days (Scheme)		No. of days (Benchmark)	
	50%	25%	50%	25%
quant Aggressive Hybrid Fund	2	1	1	1
quant Arbitrage Fund	1	1		
quant BFSI Fund	2	1	1	1
quant Business Cycle Fund	2	1	1	1
quant Commodities Fund	1	1	1	1
quant Consumption Fund	4	2	1	1
quant Dynamic Asset Allocation Fund	**1**	1	1	1
quant ELSS Tax Saver Fund	**15**	7	1	1
quant Equity Savings Fund	1	1		
quant ESG Integration Strategy Fund	**1**	1	1	1
quant Flexi Cap Fund	7	4	1	1
quant Focused Fund	**1**	1	1	1
quant Healthcare Fund	6	3		
quant Infrastructure Fund	8	4	1	1
quant Large & Mid Cap Fund	5	2	1	1
quant Large Cap Fund	2	1	1	1
quant Manufacturing Fund	**11**	6	1	1
quant Mid Cap Fund	**44**	**22**	2	1
quant Momentum Fund	**1**	1	1	1
quant Multi Asset Allocation Fund	3	1		
quant Multi Cap Fund	17	9	1	1
quant PSU Fund	**1**	1	1	1
quant Quantamental Fund	**1**	1	1	1
quant Small Cap Fund	**87**	**43**	**16**	8
quant Teck Fund	3	1	1	1
quant Value Fund	**4**	2	1	1

Note: Data as on 27 February 2026

How to read the Factsheet?

Investment Objective

The investment objective of a fund describes its purpose and goals, outlining the intended outcomes for investors. It typically specifies the type of securities the fund will invest in and whether the objective is capital appreciation, income generation, preservation of capital, or a combination thereof. Understanding the fund's objective is crucial for investors to evaluate whether the fund's strategy resonates with their own financial objectives.

Inception Date

The inception date marks the starting point from which the fund's performance and history are measured. It is important for investors because it provides insight into the fund's track record, allowing them to assess historical performance and other key metrics since inception.

Contribution by Market Cap

Market capitalization (commonly known as market cap) is calculated by multiplying a company's outstanding shares by its stock price per share. The contribution by market cap indicates the proportion of the fund's assets invested in companies of different sizes, typically categorized into:

- Large-cap: Top 100 listed companies based on previous 6-month average market cap.
- Mid-cap: Next 150 listed companies based on previous 6-month average market cap.
- Small-cap: All companies beyond the top 250 listed companies based on previous 6-month average market cap.

Fund's allocation towards different market capitalization is subject to its allocation limits as specified in the Scheme Information Document (SID). Moreover, this allocation also underscores the fund's prevailing investment strategy, which is influenced by the risk-off/risk-on dynamics observed across various market cycles.

Portfolio Concentration

This data helps in understanding the extent to which the fund's assets are invested in a limited number of securities (commonly known as portfolio concentration). It indicates how diversified or concentrated the portfolio is. The level of portfolio concentration can impact the fund's risk and return profile. A concentrated portfolio may offer the potential for higher returns if the selected securities perform well, but it also carries higher risks due to the lack of diversification. On the other hand, a diversified portfolio aims to reduce risk by spreading investments across different securities, potentially mitigating the impact of poor performance from any single security; however, it may also limit the potential for outsized returns if a particular sector or security experiences significant growth.

Investor Concentration

Investor concentration refers to the distribution of AUM (Assets Under Management) among the fund's investors. It is essentially the extent to which the fund's AUM is held by a relatively small number of investors versus being spread across a larger investor base.

Money Managers

Fund managers are experienced professionals with expertise in financial markets, securities analysis, and portfolio management. Their knowledge and skills are essential for selecting suitable investments, managing risk, and optimizing returns for investors. They are tasked with constructing and rebalancing the fund's portfolio to achieve its investment objectives. They decide which securities to buy, hold, or sell based on market conditions, economic trends, and the fund's strategy.

Benchmark Index

Benchmark indices serve as reference points for investors, providing a standard against which they can evaluate a fund's performance. These indices represent specific market segments or asset classes and act as benchmarks for measuring the relative success of funds. Comparing a fund's performance to its benchmark index helps investors gauge how effectively the fund's manager has achieved investment objectives and managed risk.

Riskometer

The riskometer is a standardized tool depicted through a pictorial meter implemented by market regulators to quantify the level of risk associated with investing in a particular fund. It is typically a graphic representation which ranks funds on a scale from low to high risk, namely: (i) low risk, (ii) low to moderate risk, (iii) moderate risk, (iv) moderately high risk, (v) high risk, and (vi) very high risk, helping investors assess the risk profile of a fund before investing. By understanding the risk level indicated by the riskometer, investors can align their investment decisions with their risk tolerance and financial goals, ensuring they select funds that match their preferences for risk and return.

Portfolio Top Holding

The top holdings in a fund refer to the fund's largest investment holdings, typically representing the highest allocation of assets within the portfolio. For investors, understanding the top holdings is crucial as it provides insight into the fund's investment strategy and the sectors or companies the fund manager believes offer the most potential. By knowing the top holdings, investors can assess the fund's diversification, concentration, and alignment with their own investment objectives. Monitoring changes in top holdings over time can also reveal shifts in the fund manager's strategy or market trends.

Relative Weightage

This graph represents how the fund's sectoral exposure differs from the market benchmark. By identifying over- or underweight sectors, investors can gauge the fund manager's active decisions and provide insights into the fund manager's sectoral preferences, deviations from the benchmark, and potential sources of outperformance or underperformance. This data helps to evaluate the fund's positioning and sector rotation strategy.

Exit Load

Exit load refers to a fee charged by the fund when an investor redeems or sells their units within a specified period after purchasing them. This fee is designed to discourage short-term trading and to cover administrative costs associated with processing redemptions. Exit loads are typically expressed as a percentage of the redeemed amount and vary depending on the scheme and the duration for which the investment was held. Investors should be aware of exit loads before investing as they can affect the overall returns, especially for short-term investments.

Scheme Performance

By providing the funds' historical performance data, a clear picture is obtained of how the fund has fared in the market across time frames. In line with the SEBI Regulations, fund fact sheets disclose the scheme performance for the 1-year, 3-year, 5-year period and from the scheme inception date. Further, the performance of the benchmark index (Total Return Index) is also shared along with the scheme performance for ease of comparison by the investors. The scheme performance for the period longer than one year is disclosed in CAGR (Compounded Annual Growth Rate) terms.

SIP Returns

SIP returns refer to the returns generated by investing through a Systematic Investment Plan (SIP). SIP is a method of investing a fixed amount regularly into a mutual fund scheme. SIP returns reflect the compounded growth of investments made through SIP over a specific period. Since SIP involves investing fixed amounts at regular intervals, it helps investors benefit from rupee-cost averaging and may potentially reduce the impact of market volatility on their investments.

Risk-Adjusted Measures

As per Portfolio Analytics & Risk Metrics, measures viz. Standard Deviation, Portfolio Beta, Portfolio Trailing P/E Ratio and Portfolio Turnover Ratio, when considered in isolation, do not provide a comprehensive depiction of a fund's returns and risk profile. Standard deviation measures the dispersion of returns around the mean, assuming a normal distribution of returns. However, it doesn't differentiate between upside and downside volatility. High standard deviation may indicate high volatility, but does not necessarily capture the direction of the volatility. Beta calculation based on NAV data is less relevant and Portfolio Beta (Weighted average Beta of all stocks in the Portfolio; provided in our monthly factsheet) is more relevant from the perspective of portfolio management and this is a true representation because of its accuracy in reflecting actual holdings, consideration of active management decisions, customization to the portfolio's risk profile and dynamic responsiveness to market changes. Trailing P/E ratio alone does not capture the future growth prospects of the portfolio and therefore we should also look at the forward P/E ratio. Trailing P/E ratio is backward-looking and doesn't provide insights into the future earnings potential. Portfolio turnover ratio is an irrelevant measure because whether the portfolio turnover is high or low does not inherently provide meaningful information about the portfolio's ability to generate returns or manage risk. Globally for all active money managers, Portfolio Turnover Ratio will naturally be high as they dynamically rebalance their portfolio based on Risk-On or Risk-Off environment. Therefore, investors should focus on other performance metrics and factors such as risk-adjusted returns and investment strategy when evaluating the quality of a portfolio. Ratios such as Sharpe Ratio, Sortino Ratio, Jensen's Alpha, Upside and Downside Deviation, and Upside Capture and Downside Capture Ratios provide a more comprehensive assessment of risk-adjusted performance by incorporating both risk and return metrics, thereby offering a clearer picture of a fund's overall performance, risk profile and the fund's ability to outperform benchmarks, providing investors with a more nuanced understanding of the fund's performance relative to its risk exposure.

Glossary

The ratios provided are based on historical data, where available.

Sharpe Ratio:

Definition: The Sharpe Ratio measures the risk-adjusted performance of an investment or portfolio. It measures portfolio returns generated in excess to the investment in risk-free asset, for per unit of total risk taken. While, positive Sharpe ratio indicates, portfolio compensating investors with excess returns (over risk-free rate) for the commensurate risk taken; negative Sharpe ratio indicates, investors are better off investing in risk-free assets.

Formula:
Sharpe Ratio= (Rp - Rf)/ op
Rp: Average return of the portfolio
Rf: Risk-free rate of return
op: Standard deviation of the portfolio's returns

Interpretation:
A higher Sharpe Ratio indicates better risk-adjusted performance.

Sortino Ratio:

Definition: The Sortino Ratio is a variation of the Sharpe Ratio, focusing on the downside risk. It considers only the standard deviation of the negative returns (downside deviation) when assessing risk.

Formula:
Sortino Ratio= (Rp - Rf)/ od
Rp: Average return of the portfolio
Rf: Risk-free rate of return
od: Downside deviation (standard deviation of negative returns)

Interpretation:
A higher Sortino Ratio indicates better risk-adjusted performance, but it specifically addresses the downside risk.

Jensen's Alpha:

Definition: Jensen's Alpha, also known as the Jensen Index or Jensen's Performance Index, measures the excess return of an investment or portfolio compared to its expected return, given its level of risk as measured by the capital asset pricing model (CAPM).

Formula:
Jensen's Alpha = Rp - [Rf+ □P (Rm - Rf)]
Rp: Actual portfolio return
Rf: Risk-free rate of return
□p: Beta of the portfolio (systematic risk)
Rm: Market return

Interpretation:
A positive Jensen's Alpha suggests that the portfolio has outperformed its expected return based on its level of risk.

R-Squared:

Definition: R-Squared (Coefficient of Determination) measures the proportion of the variation in the portfolio's returns that can be explained by the variation in the benchmark's returns. It ranges from Oto 1, where O indicates no correlation, and 1 indicates a perfect correlation.

Formula:
Calculated as part of the regression analysis comparing the portfolio's returns to the benchmark's returns.

Interpretation:

A higher R-Squared indicates a stronger correlation between the portfolio and its benchmark.

Downside Deviation:

Definition:
Downside Deviation measures the volatility of the returns that fall below a certain minimum acceptable return or threshold (often the risk-free rate).

Formula:
Standard deviation of returns that are below the threshold.

Interpretation:
A lower downside deviation suggests less volatility in the undesirable direction (below the threshold), indicating better risk management.

Upside Deviation:

Definition:
Upside Deviation measures the volatility of the returns that exceed a certain minimum acceptable return or threshold (often the risk-free rate).

Formula: Standard deviation of returns that are above the threshold.

Interpretation:

A lower upside deviation indicates less volatility in the favorable direction (above the threshold), suggesting a more stable and consistent performance in positive market conditions.

Example:

Assume the following data for Fund ABC and the benchmark over a specific period:

Average Fund Return: 12%
- Risk-Free Rate: 3%
- Standard Deviation of Fund Returns: 15%
- Downside Deviation: 8%
- Beta (Systematic Risk): 1.2
- Market Return: 10%
- Actual Portfolio Return: 14%
- Correlation coefficient with the Market: 0.8
- Positive Returns: 5%, 8%, 12%, 15%, 18%
- Negative Returns: -2%, -4%, -1%, -5%, -3%

Sharpe Ratio= (Average Return - Risk-Free Rate)/ Standard Deviation of Returns
Sharpe Ratio= (12% - 3%) / 15% = 0.6

Sortino Ratio= (Average Return - Risk-Free Rate)/ Downside Deviation
Sortino Ratio= (12% - 3%) / 8% = 1.12

Jensen's Alpha = Actual Portfolio Return - [Risk-Free Rate+ Beta * (Market Return - Risk-Free Rate)]
Jensen's Alpha= 14% - (3% + 1.2 * (10% - 3%)) = 2.6%

R-Squared = (Correlation coefficient)"2
R-Squared = (0.8)"2 = 0.64

Downside Deviation = Square Root of (Average of Squared Negative Returns)
Downside Deviation" Square Root of [(-2%)"2 + (-4%)"2 + (-1%)"2 + (-5%)"2 + (-3%)"2 / 5]"3.06%

Upside Deviation = Square Root of (Average of Squared Positive Returns)
Upside Deviation" Square Root of ((5%)"2 + (8%)"2 + (12%)"2 + (15%)"2 + (18%)"2 / 5] "6.88%